
A-Worthy Education

H2 Economics 9570 Study Suite

Document 80

Mock CSQ Paper (Paper 1 Style)

Full Timed Paper, 2 hours 15 minutes, with Model Answers

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Contents

Instructions to Candidates

Read carefully before you begin.

Instructions

1. Time allowed: **2 hours 15 minutes**.
2. Answer **all three** case study questions.
3. Each case study is marked out of **30 marks**. Total: **90 marks**.
4. Suggested timing: **45 minutes per case study** (5 min reading + 40 min writing).
5. All numerical data come from realistic sources but have been simplified for examination purposes.
6. You may use a non-programmable calculator.

Marking convention

KAA marks reward knowledge, application and analysis. EV marks reward substantiated judgement. Sub-question mark allocations are stated in brackets.

Case Study 1 — Singapore's Coffee Market (Microeconomics)

Extract 1: The growth of speciality coffee in Singapore

In 2024, the speciality coffee segment in Singapore reached an estimated S\$420m in annual sales, growing 12% year-on-year, against overall coffee market growth of 4%. The number of independent third-wave cafes rose from 180 in 2015 to over 1,200 in 2024. Major chains such as Starbucks, Coffee Bean and Tea Leaf, and Toast Box continue to dominate by store count, but the speciality segment has captured rising share of wallet among consumers aged 25–40.

Industry analysts attribute the growth to rising disposable income (median household income rose 3.2% in real terms in 2024), changing taste preferences influenced by social media, and the spread of remote-work patterns that have raised demand for “third places”.

Extract 2: Coffee bean prices

Global Arabica coffee bean futures rose from US\$1.85/lb in January 2023 to US\$3.20/lb by December 2024, driven by drought in Brazil, frost in Vietnam, and rising shipping costs. Most third-wave cafes in Singapore import beans directly from small estates in Ethiopia, Colombia and Indonesia, paying premiums of 30–50% over commodity prices to secure quality.

Extract 3: Cost structure of a typical Singapore cafe

Cost item	% of revenue
Rent (CBD location)	22%
Labour	28%
Coffee beans and milk	18%
Other ingredients and packaging	7%
Utilities	5%
Equipment depreciation	4%
Profit margin (net)	16%

Extract 4: Government and labour-market context

The Progressive Wage Model was extended to the F&B sector in 2023, raising minimum wages for local workers in food services by 8.5% per annum until 2028. Foreign worker quotas for the services sector were tightened, with the Dependency Ratio Ceiling lowered from 35% to 30% in 2024.

Questions

- With reference to Extract 1, identify two factors that have shifted the demand for speciality coffee in Singapore. [2]
- Using a diagram, explain how the events described in Extract 2 affect the equilibrium price and quantity of speciality coffee in Singapore. [4]
- Using the data in Extract 3, explain whether the demand for speciality coffee in Singapore is likely to be price-elastic or price-inelastic. [4]
- Explain how the policies described in Extract 4 affect the cost structure of a typical Singapore cafe. [6]

- (e) Discuss whether the rise of third-wave cafes is more likely to improve or reduce consumer welfare in Singapore. [8]
- (f) Assess the case for the Singapore government intervening in the speciality coffee market. [6]

Total: 30 marks

Case Study 2 — Inflation and Monetary Policy in Singapore (Macroeconomics)

Extract 5: Singapore's inflation trajectory, 2020–2025

Year	2020	2021	2022	2023	2024	2025
Headline CPI (% YoY)	−0.2	2.3	6.1	4.8	2.4	1.8
MAS Core Inflation (% YoY)	−0.2	0.9	4.1	4.2	2.8	2.0
S\$NEER appreciation (% YoY)	0.8	0.5	2.5	2.0	1.5	1.2
Real GDP growth (%)	−3.9	8.9	3.8	1.1	2.6	2.8

Extract 6: MAS policy stance, October 2025 statement

“The MAS will maintain the prevailing rate of appreciation of the S\$NEER policy band. Imported inflation has moderated as global commodity and shipping costs ease. Domestic cost pressures, while elevated, are expected to ease gradually as labour market tightness eases. The Authority assesses that the current policy stance remains consistent with medium-term price stability.”

Extract 7: Singapore's economic structure

Singapore is a small, open economy. The trade-to-GDP ratio exceeds 300%. Imports account for roughly 150% of GDP. Major imports include food (over 90% imported), energy (100% imported), and intermediate goods used in manufacturing. The marginal propensity to import is estimated at 0.5–0.6.

Extract 8: Comparison with other economies

Economy	2024 Inflation (%)	Policy instrument	Policy stance
United States	2.9	Fed funds rate	Restrictive
Eurozone	2.4	ECB deposit rate	Neutral
Japan	2.6	BOJ short rate	Mildly restrictive
United Kingdom	2.5	Bank rate	Restrictive
Singapore	2.4	S\$NEER policy band	Modestly tight

Questions

- Describe the trend in Singapore's headline inflation rate from 2020 to 2025. [2]
- Using Extracts 5 and 7, explain why imported inflation is a significant component of Singapore's inflation. [4]
- With the aid of an AD-AS diagram, explain how an appreciation of the S\$NEER affects Singapore's price level and real output. [6]
- Why does Singapore use the exchange rate, rather than the interest rate, as its primary monetary policy instrument? [6]
- Discuss whether MAS's exchange-rate policy alone is sufficient to maintain price stability in Singapore. [12]

Total: 30 marks

Case Study 3 — Globalisation and the Singapore Economy (Macroeconomics)

Extract 9: Singapore's external sector

In 2024, Singapore's exports of goods and services totalled S\$1,320bn, equivalent to 175% of GDP. The top three destinations were China (14%), the United States (12%) and Malaysia (9%). Services exports, including financial services, transport and business services, grew 6.3% in 2024 to S\$420bn, outpacing goods export growth of 2.1%.

Extract 10: US-China trade tensions

Tariffs imposed by the United States on Chinese imports rose from an average of 3% in 2017 to 19% by 2024. China retaliated with tariffs on US imports averaging 21%. The IMF estimates that global GDP growth in 2024 was 0.3 percentage points lower than it would have been absent the trade dispute.

Extract 11: Singapore's policy response

The Singapore Economic Development Board (EDB) reported a record S\$13.5bn in fixed asset investment commitments in 2024, with notable wins in semiconductor manufacturing and pharmaceuticals. The Future Economy Council has prioritised four pillars: digital, green, manufacturing, and services. SkillsFuture credits for mid-career workers were doubled in 2024.

Extract 12: Income distribution data

Indicator	2010	2024
Gini coefficient (before transfers and taxes)	0.472	0.435
Gini coefficient (after transfers and taxes)	0.412	0.366
Share of resident employees in top 20% by wage (%)	47.2	49.1
Share of resident employees in bottom 20% by wage (%)	5.1	5.8

Questions

- Identify two features of Singapore's external sector from Extract 9. [2]
- Explain two ways in which the events described in Extract 10 could affect Singapore's economy. [6]
- With reference to Extract 11, explain how supply-side policies can help Singapore respond to globalisation. [6]
- Using Extract 12, assess whether globalisation has worsened income inequality in Singapore. [6]
- Discuss the view that the benefits of globalisation to Singapore outweigh its costs. [10]

Total: 30 marks

Model Answers

A-grade student-script style with examiner notes.

Case Study 1 — Model Answers

(a) Two demand shifters [2 marks]

Worked Example

Two factors shifting demand for speciality coffee in Singapore are: (i) rising real disposable income (median household income rose 3.2% in real terms in 2024), making speciality coffee — a normal good — more affordable; (ii) changing tastes and preferences, influenced by social media exposure, which raised consumer valuation of speciality coffee at every price level.

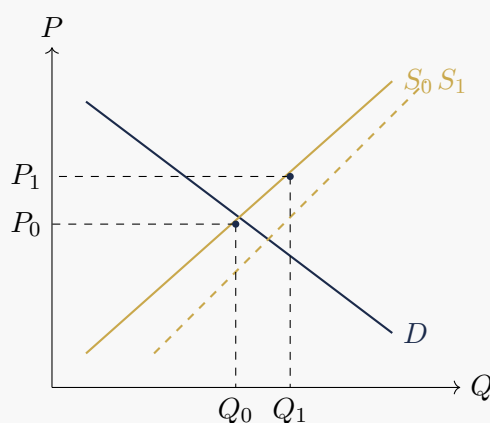
Examiner note: Two demand shifters, each linked explicitly to extract data. Full marks.

(b) Effect on equilibrium price and quantity [4 marks]

Worked Example

The rise in Arabica futures from US\$1.85/lb to US\$3.20/lb raises the cost of an input that constitutes 18% of cafe revenue. Ceteris paribus, this raises marginal cost, shifting the supply curve of speciality coffee leftward from S_0 to S_1 .

At the original price P_0 , quantity demanded exceeds quantity supplied. The shortage exerts upward pressure on price. As price rises, quantity demanded contracts along D_0 and quantity supplied extends along S_1 until a new equilibrium is reached at (P_1, Q_1) , where $P_1 > P_0$ and $Q_1 < Q_0$.



Examiner note: Mechanism + diagram + new equilibrium. 4/4.

(c) Price elasticity of demand judgement [4 marks]**Worked Example**

Speciality coffee in Singapore is likely to be price-elastic for three reasons. First, it has many close substitutes — mainstream chain coffee (Starbucks, Toast Box), and home-brewed alternatives — giving consumers ready alternatives if price rises. Second, it constitutes a small but discretionary share of household spending; consumers can easily defer or reduce purchases. Third, the consumer base is concentrated among 25–40 year-olds, who tend to be more price-aware.

However, brand loyalty within the third-wave segment may make demand inelastic in the short run for established cafes with strong followings. On balance, demand is likely to be price-elastic with PED roughly in the range -1.2 to -1.8 .

Examiner note: Three determinants + magnitude estimate + qualifying counter-point. 4/4.

(d) Effect of PWM and DRC policies on cost structure [6 marks]**Worked Example**

The Progressive Wage Model (PWM) raises minimum wages for local F&B workers by 8.5% per annum until 2028. Given that labour constitutes 28% of revenue in a typical Singapore cafe, this is the single largest cost shock. A simple calculation: an 8.5% rise in a cost item that is 28% of revenue raises total costs by approximately $0.085 \times 28\% = 2.4$ percentage points of revenue per year. Over five years, compounding, labour costs rise by approximately 50%, corresponding to a 14-percentage-point rise in total costs as a share of revenue.

The Dependency Ratio Ceiling cut from 35% to 30% reduces the supply of cheaper foreign workers, forcing cafes to substitute toward local workers paid at PWM rates. This raises the effective wage further. Cafes face three margins of adjustment: (i) raise prices, possible only if demand is inelastic enough; (ii) automate (self-order kiosks, espresso machines with auto-tamping); (iii) accept lower profit margins, eroding the 16% net margin shown in Extract 3.

In aggregate, cost-push pressure shifts the cafe industry supply curve leftward, raising equilibrium price and reducing equilibrium quantity. Marginal cafes — those operating near break-even — exit the market.

Examiner note: Mechanism + quantification + three adjustment margins + market-level conclusion. 6/6.

(e) Consumer welfare effects of third-wave cafes [8 marks]**Worked Example**

Welfare-improving effects. The rise of third-wave cafes expands consumer choice. Where previously consumers had to choose between commodity-grade chain coffee and home brewing, they now have over 1,200 differentiated outlets. Product variety raises consumer surplus, particularly for consumers with strong preferences for quality, single-origin beans, or barista craft. The growth from 180 to 1,200 cafes in nine years also intensifies monopolistic competition within the segment, which in the long run drives down economic profit toward normal profit (Doc 09), keeping prices closer to average cost than monopoly would deliver.

Third-wave cafes also generate positive externalities. They act as “third places” — neither

home nor office — where remote workers and students gather, supporting community formation and small-business spillovers (laptop accessories, baked goods, etc.).

Welfare-reducing effects. Speciality coffee is more expensive than chain coffee — typically S\$6–8 per cup versus S\$3–5 at chains and S\$1.20 at Toast Box. For lower-income consumers, the rise of third-wave cafes does not expand choice meaningfully because the prices are out of reach. The product differentiation that benefits high-income consumers may therefore worsen the relative welfare of low-income consumers.

The high CBD rent component (22%) suggests cafes also raise commercial property rents, displacing other small businesses that cannot afford the same rent per square foot.

Judgement. On balance, the rise of third-wave cafes improves aggregate consumer welfare in Singapore, primarily through variety and competition within the segment. However, the welfare gain is unevenly distributed: it accrues mainly to higher-income consumers in central districts. The net welfare effect for low-income consumers is approximately neutral, since chain alternatives remain available and unchanged.

Examiner note: Two-sided KAA + stakeholder distinction + substantiated judgement. 8/8.

(f) Case for government intervention [6 marks]

Worked Example

Case for intervention. Three potential market failures could justify intervention. First, if cafes generate negative externalities (e.g., crowd-out of food-stall culture, gentrification of HDB town centres), the social cost exceeds the private cost, and a per-unit tax or rezoning rule could move output toward the social optimum. Second, information failure — consumers may not accurately price the health costs of high caffeine intake — could justify mandatory labelling. Third, if the labour market for baristas exhibits monopsony power (large chains as dominant employers), minimum wage regulation could raise both wages and employment.

Case against intervention. The speciality coffee market is closer to monopolistic competition than monopoly. Many small producers and easy entry mean prices already approximate average cost in the long run. Externalities are limited and largely positive (community, employment). Information failure is mild — consumers self-select into speciality coffee on quality grounds. The existing Progressive Wage Model already addresses any monopsony concerns. Additional intervention risks government failure: regulatory capture by large chains, compliance costs that disproportionately burden small independents, and the bluntness of any tax instrument.

Judgement. The case for further government intervention in the speciality coffee market specifically is weak. Existing labour-market policies (PWM, DRC) and general competition law are sufficient. Targeted intervention should focus on adjacent market failures (commercial rents, health labelling) rather than on the coffee market itself.

Examiner note: Two-sided + reasoned judgement + reference to existing policy. 6/6.

Case Study 2 — Model Answers

(a) Trend in headline inflation [2 marks]

Worked Example

Headline CPI was mildly deflationary in 2020 (-0.2%), rose sharply to a peak of 6.1% in 2022, then disinflated steadily to 1.8% by 2025. The trajectory is a single-peak hump centred on 2022.

(b) Why imported inflation matters in Singapore [4 marks]

Worked Example

Singapore's trade-to-GDP ratio exceeds 300%, with imports alone equal to roughly 150% of GDP (Extract 7). Over 90% of food and 100% of energy is imported. Consequently, changes in world commodity prices and the exchange rate pass through rapidly and largely to domestic consumer prices.

This is visible in Extract 5: 2022 headline inflation of 6.1% coincided with the global energy and food price shock following the Russia-Ukraine conflict. Core inflation, which strips out accommodation and private transport, rose to 4.1% — itself driven heavily by imported services and goods. With a marginal propensity to import of 0.5–0.6, virtually any rise in import prices is immediately reflected in the CPI basket.

(c) Effect of S\$NEER appreciation on price and output [6 marks]

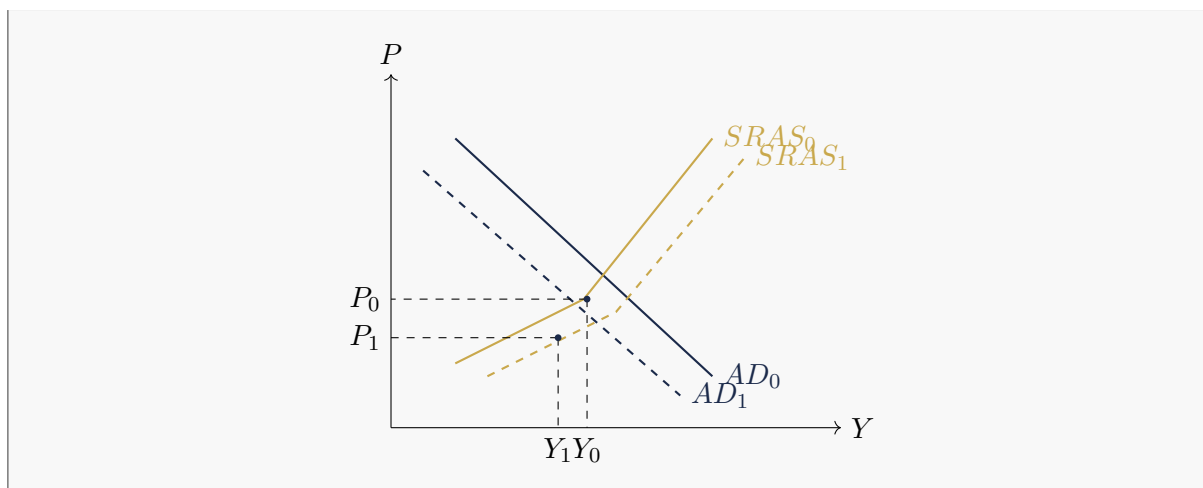
Worked Example

An appreciation of the S\$NEER raises the foreign-currency price of Singapore's exports and lowers the domestic-currency price of imports. The transmission runs through two channels.

Direct channel — imported inflation. Cheaper imports in S\$ terms lower the input costs of producers (who rely heavily on imported intermediates) and the prices of imported final consumption goods (food, fuel, electronics). The SRAS curve shifts rightward from $SRAS_0$ to $SRAS_1$, and the import-price component of the CPI falls directly. This is the dominant channel in Singapore given import dependence.

Indirect channel — net exports. More expensive exports in foreign-currency terms and cheaper imports in domestic-currency terms worsen the net export position, shifting AD leftward from AD_0 to AD_1 .

The net effect on the price level is unambiguously downward. The effect on real output is ambiguous in principle, but because Singapore's import content of exports is high (each S\$1 of exports embeds approximately S\$0.55 of imports), the net export contraction is smaller than the direct disinflation gain. In practice, an appreciation reduces inflation while only mildly slowing output growth.



(d) Why exchange rate, not interest rate [6 marks]

Worked Example

Three structural features of the Singapore economy make the exchange rate the more effective monetary instrument.

First, openness and the dominance of imported inflation. With imports at 150% of GDP, the direct pass-through from the exchange rate to consumer prices is large and rapid. By contrast, the interest rate works mainly through aggregate demand (investment, consumption), which is a smaller share of Singapore's price formation than imports.

Second, the impossible trinity. A country cannot simultaneously have a fixed (or managed) exchange rate, free capital mobility, and an independent interest rate. Singapore is a global financial centre with free capital movement; if MAS attempted to set the interest rate, capital flows would force the exchange rate to whatever level kept Singapore's interest rate aligned with world rates. By choosing the exchange rate as the policy variable, MAS accepts that the domestic interest rate is determined externally — and the SIBOR/SORA tracks the US Fed funds rate closely.

Third, the small open economy condition. Standard small-open-economy theory holds that the exchange rate is the most powerful instrument because it affects both AD (net exports) and AS (import costs) simultaneously. Interest-rate policy affects only AD. In addition, the exchange-rate framework is operationally transparent (announced as a band, slope and width) and avoids the political-economy difficulties of interest-rate setting in a city-state with diverse household debt profiles.

(e) Is exchange-rate policy sufficient? [12 marks]

Worked Example

Introduction. MAS conducts monetary policy by managing the S\$NEER within an undisclosed band. The question is whether this single instrument is sufficient to maintain price stability across the inflation cycle observed in Extract 5.

Argument that it is sufficient. The exchange rate works on Singapore's dominant inflation channel — imported inflation — directly. Extract 5 shows that an appreciation pace of 2.0–2.5% per year coincided with disinflation from 6.1% to 1.8% over three years. The mechanism is robust: cheaper imports in S\$ terms lower input costs (SRAS shifts right) and final goods prices (CPI falls directly). The 2022–2024 episode demonstrates

that the exchange rate instrument retains traction even at high inflation rates. Compared with peer economies (Extract 8), Singapore achieved comparable disinflation to the US, UK and Eurozone without resorting to large interest-rate increases that would have hurt households and small businesses.

The exchange-rate framework also has the advantage of forward guidance simplicity. MAS announces a slope and a band; market expectations adjust quickly and credibly.

Argument that it is not sufficient. First, the exchange rate is less effective against *domestic-source* inflation. Extract 6 acknowledges “domestic cost pressures” from a tight labour market. Wage-driven core inflation responds to the exchange rate only indirectly (through cheaper imported intermediates) and slowly. Fiscal and supply-side policies are needed to address this — and the SkillsFuture, Progressive Wage Model, and Foreign Worker policies are doing precisely this.

Second, a strong S\$ may erode export competitiveness if sustained. Extract 9 in CS3 shows that exports of services grew 6.3% in 2024 but goods exports only 2.1%, partly attributable to currency strength. A trade-off exists between domestic price stability and external competitiveness.

Third, the exchange rate cannot address asset-price inflation (housing, equities), which has welfare and macroprudential implications even when CPI is in target. The Macroprudential Authority and the Council for Estate Agencies handle this through cooling measures.

Fourth, in a deep deflationary shock (e.g., 2020 COVID), the exchange-rate band can be lowered or its slope flattened, but the policy may be constrained near zero — analogous to the zero lower bound on interest rates.

Judgement. The exchange rate is the appropriate *primary* instrument for Singapore’s open-economy price-stability objective, and Extract 5 indicates it has worked through the 2022 shock. However, “sufficient on its own” is a stronger claim than the evidence supports. Price stability in Singapore relies on a policy mix: exchange-rate appreciation for imported inflation, fiscal supply-side measures for wage-driven core inflation, and macroprudential tools for asset-price inflation. On balance, exchange-rate policy is necessary but not strictly sufficient.

Examiner note: Two-sided KAA + four-pronged limitation + multi-instrument judgement. 12/12.

Case Study 3 — Model Answers

(a) Two features of Singapore's external sector [2 marks]

Worked Example

Two features: (i) Singapore is highly trade-dependent, with exports of goods and services at 175% of GDP in 2024; (ii) services exports are growing faster (6.3%) than goods exports (2.1%), suggesting a structural shift toward higher-value-added external activities such as financial and business services.

(b) Two effects of US-China trade tensions on Singapore [6 marks]

Worked Example

Effect 1 — Direct trade contraction. Singapore's top two export destinations are China (14%) and the US (12%). Tariff-induced slowdown in either economy reduces demand for Singapore's exports of intermediates (semiconductors, chemicals) and services (transport, finance). With a marginal propensity to import of 0.5–0.6, a fall in net exports has a multiplier effect on Singapore's GDP. Given the IMF's 0.3 percentage-point global GDP drag, the cumulative effect on Singapore — more open than the world average — is plausibly twice as large.

Effect 2 — Trade diversion and FDI relocation. Multinationals seeking to avoid US tariffs on Chinese exports have relocated some production capacity to ASEAN, including Singapore. EDB's record S\$13.5bn FAI commitments in 2024 (Extract 11) partly reflect this trend. Trade diversion is a partial offset to the contraction effect, though it benefits high-skill segments (semiconductors, pharma) more than low-skill ones.

Net effect. Singapore is a net loser from heightened protectionism in aggregate, but the costs and benefits are unevenly distributed across sectors and skill levels.

(c) Supply-side policies in response to globalisation [6 marks]

Worked Example

Supply-side policies aim to raise the productive capacity (LRAS) of the economy and improve its competitiveness in a globalised context. Three Singapore policies illustrate this.

SkillsFuture and lifelong learning. The doubling of SkillsFuture credits for mid-career workers (Extract 11) raises the human capital stock and helps workers transition from sectors losing competitiveness (low-end manufacturing) to growth sectors (digital, green, services). This shifts LRAS rightward and reduces structural unemployment.

Future Economy Council pillars (digital, green, manufacturing, services). Targeted investment in priority sectors raises factor productivity and attracts FDI in high-value-added activities. The record S\$13.5bn FAI in 2024 demonstrates traction.

Trade liberalisation and FTA network. Although not in Extract 11, Singapore maintains 27 FTAs with 50+ partners, lowering input costs and expanding market access. This raises both AD (export channel) and LRAS (lower input costs and technology transfer). The combined effect is to shift LRAS rightward, allowing non-inflationary growth even in a more protectionist global environment.

(d) Has globalisation worsened inequality in Singapore? [6 marks]**Worked Example**

Evidence that inequality has narrowed. Both pre-transfer (0.472 → 0.435) and post-transfer (0.412 → 0.366) Gini coefficients fell between 2010 and 2024. The bottom-quintile wage share rose from 5.1% to 5.8%. On the standard measure, inequality has improved.

Evidence that globalisation has pressured inequality upward. The top-quintile wage share rose from 47.2% to 49.1%, consistent with skill-biased technical change rewarding high-skill workers more than low-skill workers. Globalisation theory (Stolper-Samuelson) predicts that in a skill-abundant economy, openness raises the relative return to skilled labour. The narrowing of the headline Gini despite this upward pressure points to the role of redistributive policy — Workfare Income Supplement, Silver Support, Progressive Wage Model, and CHAS subsidies.

Judgement. Globalisation has applied upward pressure on inequality through the wage-share channel. However, Singapore's redistributive policy framework has more than offset this, leaving observed inequality lower in 2024 than in 2010. Globalisation has not, on net, worsened inequality in Singapore — but it would have done so without active redistributive intervention.

(e) Do globalisation's benefits outweigh its costs for Singapore? [10 marks]**Worked Example**

Benefits. (i) Access to a market 1,000× Singapore's domestic size, allowing realisation of economies of scale in manufacturing and services. Singapore's S\$1,320bn exports would be impossible in a closed economy. (ii) Lower consumer prices through cheaper imports (food, electronics) — a key channel by which globalisation has raised real incomes across the income distribution. (iii) FDI and technology transfer, evidenced by the record S\$13.5bn FAI in 2024. (iv) Specialisation in high-value-added services where Singapore has comparative advantage (finance, logistics, biopharma), generating 6.3% services-export growth in 2024.

Costs. (i) Imported inflation vulnerability, demonstrated by the 6.1% headline CPI peak in 2022. (ii) External demand volatility — the IMF estimates 0.3pp global GDP drag from US-China trade tensions, with Singapore's exposure plausibly larger. (iii) Skill-biased wage divergence (Extract 12), partially offset by redistribution. (iv) Strategic dependency on global supply chains, exposed during COVID-19 and the Russia-Ukraine energy shock.

Mitigating factors. Singapore's policy framework actively manages many globalisation costs: the exchange-rate framework addresses imported inflation; supply-side investment in SkillsFuture and the FEC pillars manages structural change; redistribution offsets inequality pressure; FTA diversification reduces single-partner dependency.

Judgement. On balance, the benefits of globalisation to Singapore decisively outweigh the costs, *conditional on* the existing active policy framework. Singapore's prosperity — among the highest GDP per capita in the world — would be impossible without trade openness. The costs, while real, are largely managed by domestic policy rather than abandoned. A hypothetical closure or significant retreat from globalisation would impose costs far exceeding those it would avoid.

Examiner note: Four benefits, four costs, mitigating layer, conditional judgement. 10/10.

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